Category
Investors and Other Stakeholders

INTRODUCTION

Corporate issuers are financed with debt and equity. Debt and equity securities have different risk and return profiles for both issuers and investors. This learning module discusses these differences and their implications, while also considering the perspectives of a broader group of stakeholders beyond debtholders and shareholders. We introduce these groups and discuss potential conflicts of interest among them. Balancing stakeholder interests is important, as both issuers and investors have increasingly incorporated environmental, social, and governance factors into their decision-making processes. Analysts assess ESG factors to better evaluate issuers' expected future performance and risk profile.

Learning Module Overview

- Corporate issuers are financed with debt and equity. Debt is a financing source with a finite length, and interest and principal payments are promised on pre-specified future dates. Debtholders have a priority claim over shareholders to an issuer's cash flows and assets.
- Equity is a source of permanent financing, and no promises of repayments or distributions to shareholders are made. Equity is a residual claim on an issuer's cash flows and assets.
- From the perspective of an issuer, debt is riskier than equity. From the perspective of an investor, equity is riskier than debt. The proportion of debt in a firm's capital structure affects both the potential return and the risk of cash flows.
- Conflicts of interest may exist between debtholders and shareholders. Debtholders' payoff is limited to promised interest and principal payments, while shareholders' payoff is theoretically unlimited as increases in firm value over the value of debt accrue to shareholders.
- Besides debt and equity investors, corporate stakeholders include the board of directors, managers, employees, customers, suppliers, governments, society in general, and the environment. The stakeholder theory of corporate governance broadens the focus of corporate decision-making beyond that of the shareholder theory.
- Environmental, social, and governance (ESG) considerations are becoming more important to both investors and analysts. ESG factors affect firms' values and can present both risks and opportunities.

Learning Module Self-Assessment

These initial questions are intended to help you gauge your current level of understanding of this learning module.

Complete each statement by selecting the most appropriate term in parentheses.

1. _____ make permanent capital available to issuers. (debtholders, shareholders)

   Hide Solution

Debtholders is incorrect. Debt has a finite maturity, though it can be far in the future.

2. _____ have a residual claim against a firm's cash flows. (debtholders, shareholders)

Hide Solution

Solution:

Shareholders have a residual claim against a firm's cash flows.

Debtholders is incorrect. Debtholders have a *priority* claim over shareholders to a firm's cash flows and assets.

3. The shareholder theory of corporate governance is _____ than the stakeholder theory. (narrower, broader)

Hide Solution

Solution:

The shareholder theory of corporate governance is narrower than the stakeholder theory.

Stakeholders are groups and individuals with a vested interest in a firm's success and include, but are not limited to, shareholders.

4. ESG considerations are an explicit objective in the _____ theory of corporate governance. (shareholder, stakeholder)

Hide Solution

Solution:

ESG considerations are an explicit objective in the stakeholder theory of corporate governance.

The stakeholder theory seeks to balance the interests of shareholders with the interests of a broader group that relate to ESG considerations.

5. The estimated impact of ESG factors on corporate issuers' financial and share price performance has _____ over time. (decreased, remained the same, increased)

Hide Solution

Solution:

The estimated impact of ESG factors on corporate issuers' financial and share price performance has increased over time. This impact is the result of changing consumer and investor preferences, increased regulations and taxes related to ESG factors, and the rising threat of climate change.

6. ESG factors are increasingly recognized as _____ by analysts. (quantifiable, qualitative)

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Solution:

ESG factors are increasingly recognized as quantifiable by analysts. Historically, ESG factors were considered negative externalities with no direct effect on firms' financial statements. Increasingly, analysts are quantifying the

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